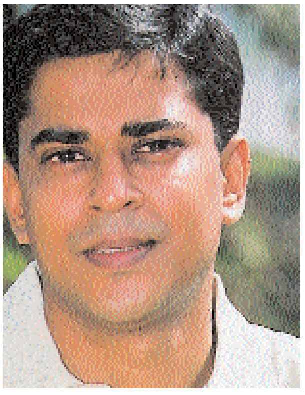

VIPUL SHAH

Telecom: David vs Goliath

"MTNL is probably the only corporate company in the world, which proudly advertises the fact that they make their customers wait in line for hours to make payments"

Apart from municipal water, which is the most essential and monopolistic service that we big city residents use day after day? The answer is basic telephony. It's reach and demand is growing. All homes, offices and shops in developed cities, towns and villages, have a phone. None of us would dare refuse a Diwali gift—read extortion money—when the telephone linemen come calling.

Customer service is virtually non-existent for basic telephony companies. Last year, while travelling by train, I saw an ad for MTNL's ECS service. The catch line for the ad was, "Why wait for hours in a queue to pay phone bills." This is probably the only corporate company in the world, which proudly advertises the fact that they make their customers wait in line for hours to make payments.

The entry of private players, such as Tata Indicom, Bharti etc has changed the industry. These companies have logical business plans, and try to provide the best possible customer support. But still, the situation in India, and most of the world, is one of 'duopoly', where two operators serve most cities. Although there is a significant rise in service levels, there isn't enough motivation for them to radically improve their approach and appeal. The knowledge, that customers don't really have a choice, only serves in pushing prices upwards.

Today, even middle class households receive bills in excess of Rs 1,000, only for local calls and dial-up Internet access. Over the past decade, the prices of CPUs, RAM, bandwidth and even international phone calls, have reduced. However, local call costs are still rising.

In the early 1990s, when Internet was just being accepted into homes, telephony companies didn't worry. Even when e-mail began to replace fax and international voice calls, SMS was replacing STD calls, and VoIP started becoming popular, companies such as AT&T, MCI or VSNL didn't worry. The problem was that you still needed these companies to make and receive local calls.

Today, in India and even the U.S, phone companies charge for every little feature or service. Services, such as Caller ID, Voice Mail, Call Waiting or Call Forwarding, all have charges and hefty taxes loaded on top of each other. It is common for an American household to receive a monthly phone bill of $80.

A small, 70 employee, U.S start-up called Vonage DigitalVoice is emerging as a huge threat to the copper landline companies. Vonage does away with copper wiring to every customer home. Instead, it uses any existing broadband Internet connections you may already have—such as DSL, Cable or Ethernet. You get to choose between 70 city and area codes, even if you do not live there. For example, you could live in Atlanta, but have a New York city code. This way all calls to, and from New York are treated as local calls, and you can give the impression that you are based in New York.

The calls travel from Vonage DigitalVoice to subscribers over their broadband connection. Subscribers are provided with a Cisco ATA 186 analogue telephone adapter, that connects the Internet to a regular or cordless phone or even an EPABX. Vonage is offering free caller-ID, free call-forwarding to any number in the U.S or Canada, free voice mail that you can access from anywhere via the Web , and call waiting.

All these features cost $25.99 per month, and include 500 minutes of outgoing calls anywhere in the U.S or Canada, as well as unlimited local calls. The international call charges are also cheap. It costs 5 cents per minute to call Hong Kong, 19 cents to New Delhi, 5 cents to London, etc.

Even while traveling, you can carry this ATA adapter with you and connect to a hotels broadband connection, or to an Internet connection on flights. Here, you can make and receive calls at no extra roaming costs, while outside your city or even overseas.

This radical concept is sending shockwaves through phone companies in the U.S. Most high-value customers already have broadband Internet connections, and can save about $40 per month per connection. In one year of operations, Vonage has got 20,000 subscribers and connected 15 million calls. Even when changing services, subscribers can keep their existing phone number, this has prompted many users to give up any second phone lines and replace it with a Vonage lines.

Our Indian phone companies need to learn from this and start offering what they can, instead of sitting and waiting for some new technology to make them obsolete.

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